

Brazilian Olist: Executive Insights Report

1. Customer Churn : Improve Delivery Performance

- Churned customers wait **12.69 days** on average for delivery, while active customers wait **6.58 days**.
- Delivery time is the strongest difference observed between active and churned customers.
- Active customers give slightly higher reviews (4.33) than churned customers (4.08).
- The payment method does **NOT** appear to influence churn. Both groups primarily use credit cards.
- Average order count is nearly identical (1.06 vs 1.03), so purchase frequency is **not** a distinguishing factor.
- Churned customers have a slightly higher average lifetime spend (R\$176.03) than active customers (R\$164.21).
- **Recommendation:** Reduce delivery delays by improving logistics performance and proactively notifying customers about shipping delays.

2. Customer Segmentation (RFM) : Prioritise High-Value Customers

- **Champion** customers have the **highest** average lifetime order value (R\$313).
- At Risk customers have the second highest average lifetime order value (R\$244).
- Losing Champion and At Risk customers has a larger revenue impact than losing other segments.
- **Recommendation:** Prioritize retention campaigns for Champion and At Risk customers before investing in broad customer-wide promotions.

3. Product Categories : Focus on High-Impact Categories

- Churn rates are consistently high across most major product categories (roughly 95%–99%).
- No major product category stands out because of an unusually high churn rate.
- Business impact comes from **category size** rather than churn percentage.
- Top contributors to total churn:
 - Bed Bath Table – 9.35% (8,892 customers).
 - Health Beauty – 8.76% (8,328 customers).
 - Sports Leisure – 7.69% (7,311 customers).
 - Computers Accessories – 6.72% (6,388 customers).
 - Furniture Decor – 6.49% (6,170 customers).
- These **five categories** account for approximately **39% (37,089 customers)** of all churned customers and should be prioritized for retention efforts.
- **Recommendation:** Prioritize retention campaigns in the highest-volume product categories, where improvements will have the greatest impact on overall churn.

4. Cohort Retention : Win Customers Within First Month

- Only **5.22%** of customers return one month after their first purchase.
- Customer retention drops sharply after the first month and remains below 1% from month 2 onward.
- The first month after acquisition is the most critical period for retention campaigns.
- **Recommendation:** Launch post-purchase engagement campaigns within the first month using personalized offers, loyalty incentives, or follow-up communications to encourage a second purchase.